

Gap Down and Rally to a Buy Climax

Reversal Down from Buy Climax: Sometimes Resumes Up

Reversal Down

Buy Climax often leads to reversal down,
usually in bull channel
Here, Small Pullback Bear Trend



Trend Resumption Up

Buy Climax



Buy Climax: When Only 1 – 3 Bars, Call it Bull Trap

Buy Climax

The more bars in the Buy Climax, and the more big bull bodies closing near their highs, the more likely a reversal will require some type of Double Top or Wedge first



All Buy Climaxes are Bull Traps and
all Bull Traps are Buy Climaxes
When 3 bars or less, call it Bull Trap
When more, call it Buy Climax

Bull Trap

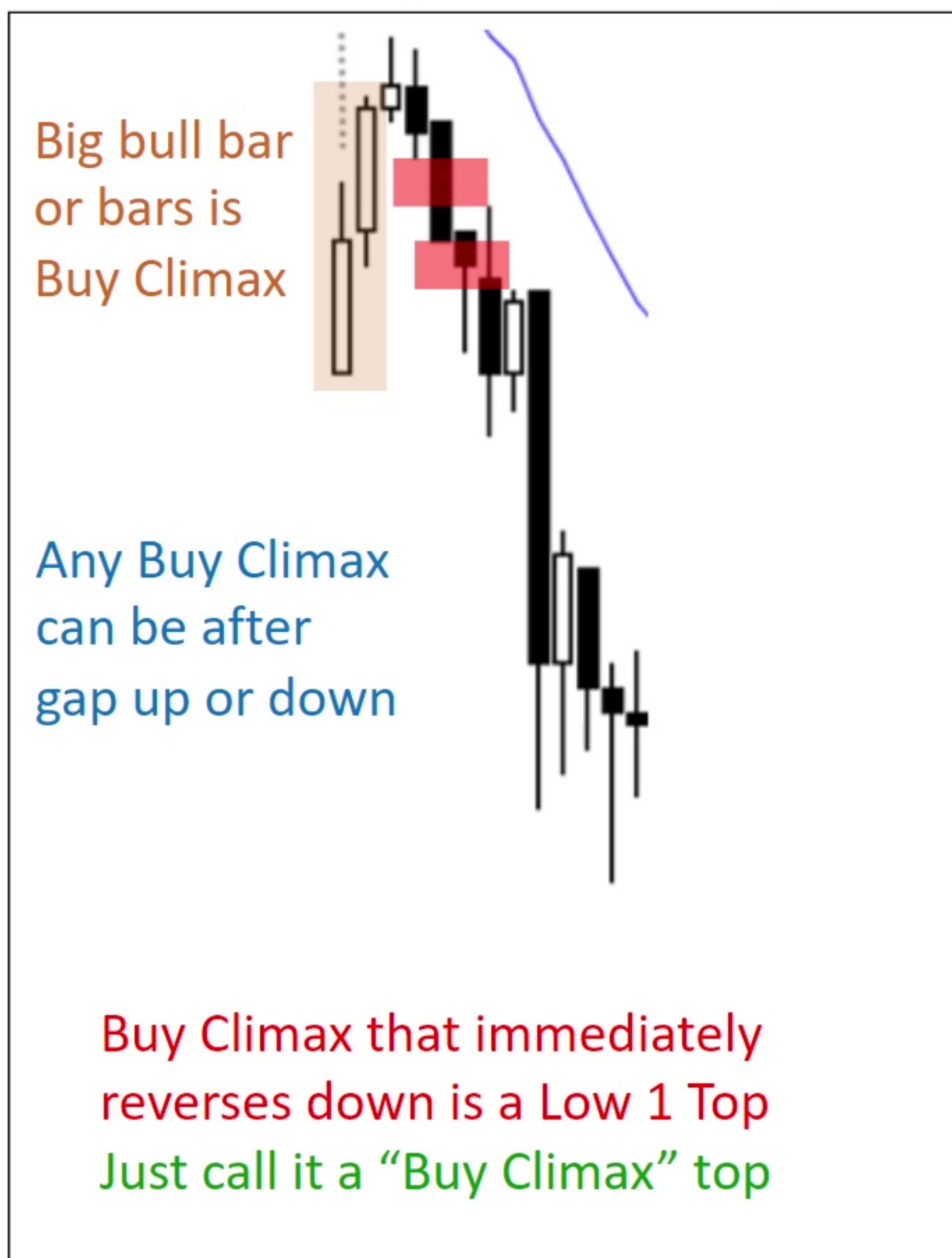
When a Buy Climax is only 1 – 3 bars, it can reverse down immediately into a bear trend



Bull Trap is just a brief Buy Climax

Buy Climax: 3 Types Are Low 1, Low 2, and Low 3

Low 1 ("B Climax")



Low 2 (Double Top)



Low 3 (Wedge Top)



Gap Down and Bull Trend From The Open: 3 Possibilities

Bull Trend Day



20% of time, Bull Trend From The Open continues all day
Usually as Small Pullback Bull Trend

Bear Trend Reversal



20% of time, Bull Trend From The Open reverses into bear trend

Evolve into Trading Range



60% of time, becomes Trading Range
When it does, 20% chance of late trend reversal down or trend resumption up

Buy Climax: Trend Reversal Down



Buy Climax: Bear Spike and Channel, Then Trading Range

Micro Wedge

Buy Climax

Low 2 Top but
bull doji

LH DT

Close on low

Bear Reversal became spike in
Bear Spike and Channel

Test of open

HH DT PB

Wedge bottoms failed

Minor Wedges in

Spike and Channel Bear Trend

Limit order bulls making money by
buying at prior low so TR likely soon

Minor HL DB since
Micro Channel and
not enough time
for major reversal

Buy Climax: Reversal Down, Then Trading Range

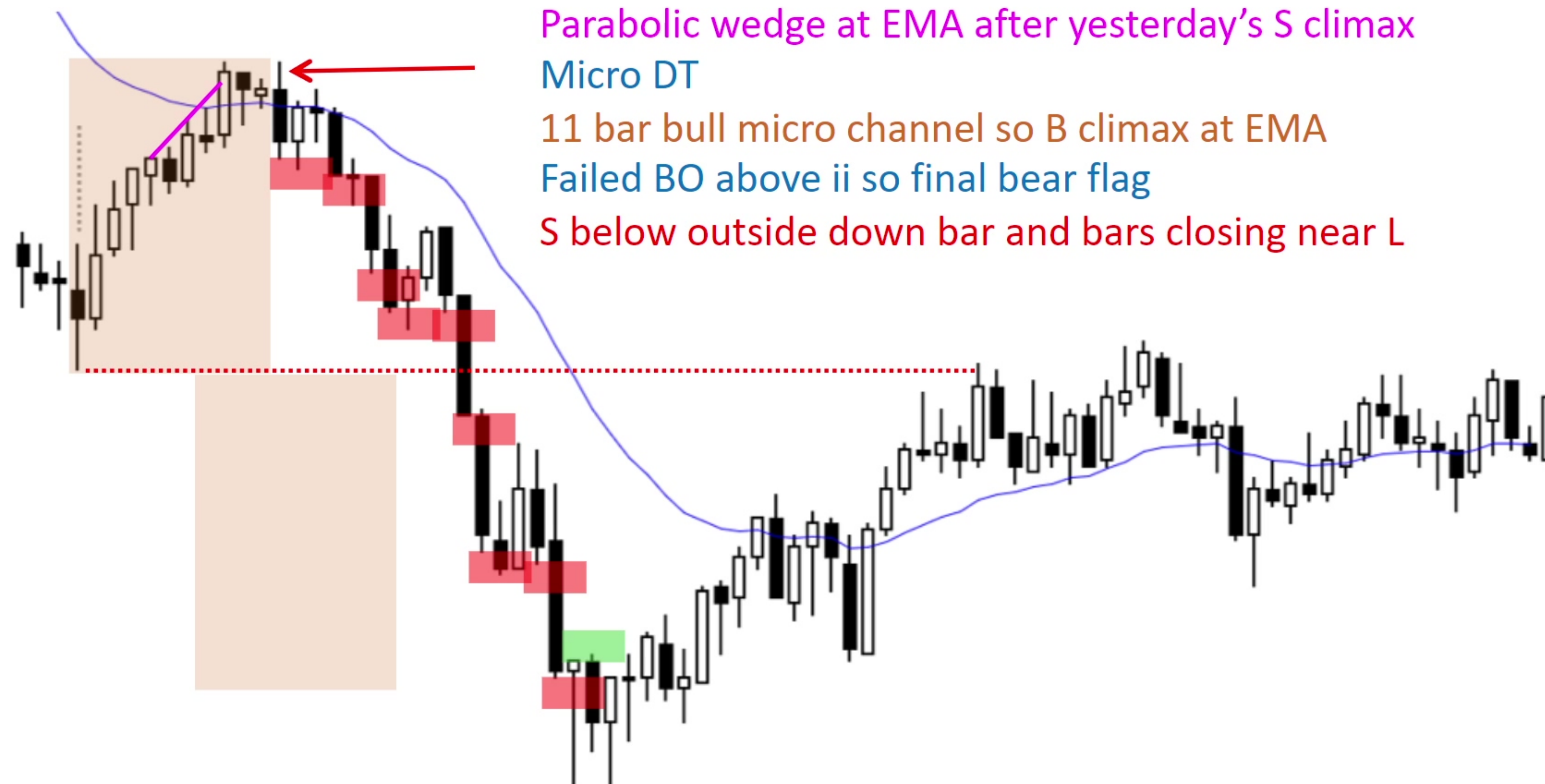
When there is an ii,
increases chance
of abrupt trend reversal
ii always is Micro DT
and Micro DB,
and usually a small Triangle
Here, Micro Wedge before ii

60% of time, strong trend on open leads to Trading Range
Usually leads to minor reversal and trading range
before it can become bear trend
20% of time it is like today and abruptly reverses into bear trend
without first transitioning into Trading Range
8 consecutive bull bars and 10-bar bull micro channel is buy climax



Wedge and Expanding Triangle is opposite of ii,
which is Contracting Triangle

Gap Down: Bull Micro Channel so B Climax



Bull Trap: Brief Buy Climax that Immediately Reversed Down

If the reversal down follows rally of 3 or more bars big bull bars, it is still a Bull Trap, but call it Buy Climax

Consecutive big bull bars closing on their highs so Buy The Close Bull Trend

Possible low of day

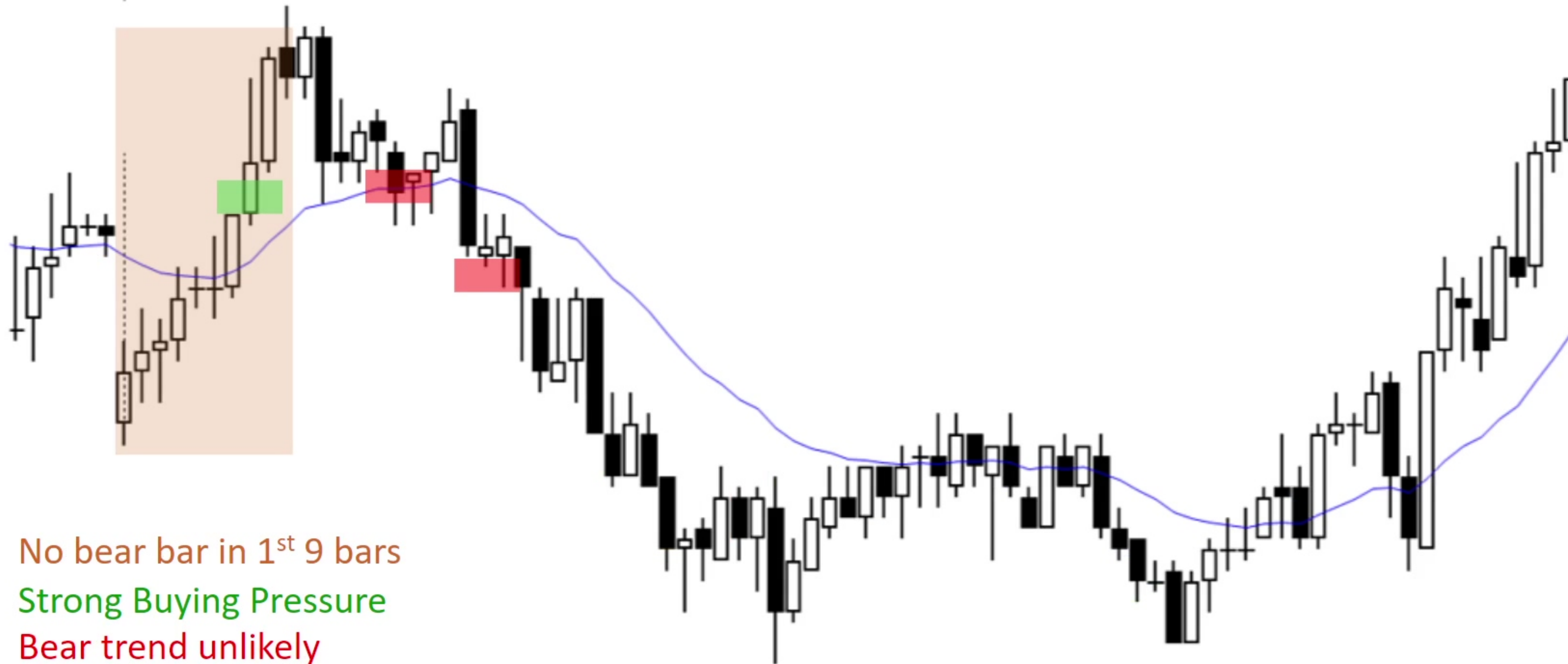
The buy triggered, but immediate reversal down, trapping bulls into a bad long

When 1 – 2 big bull bars closing near their highs on the open, but then immediate reversal down, it is a Bull Trap

That is a brief buy climax that reverses down



Buy Climax: Any Strong Open Reverses 50% of Time



No bear bar in 1st 9 bars

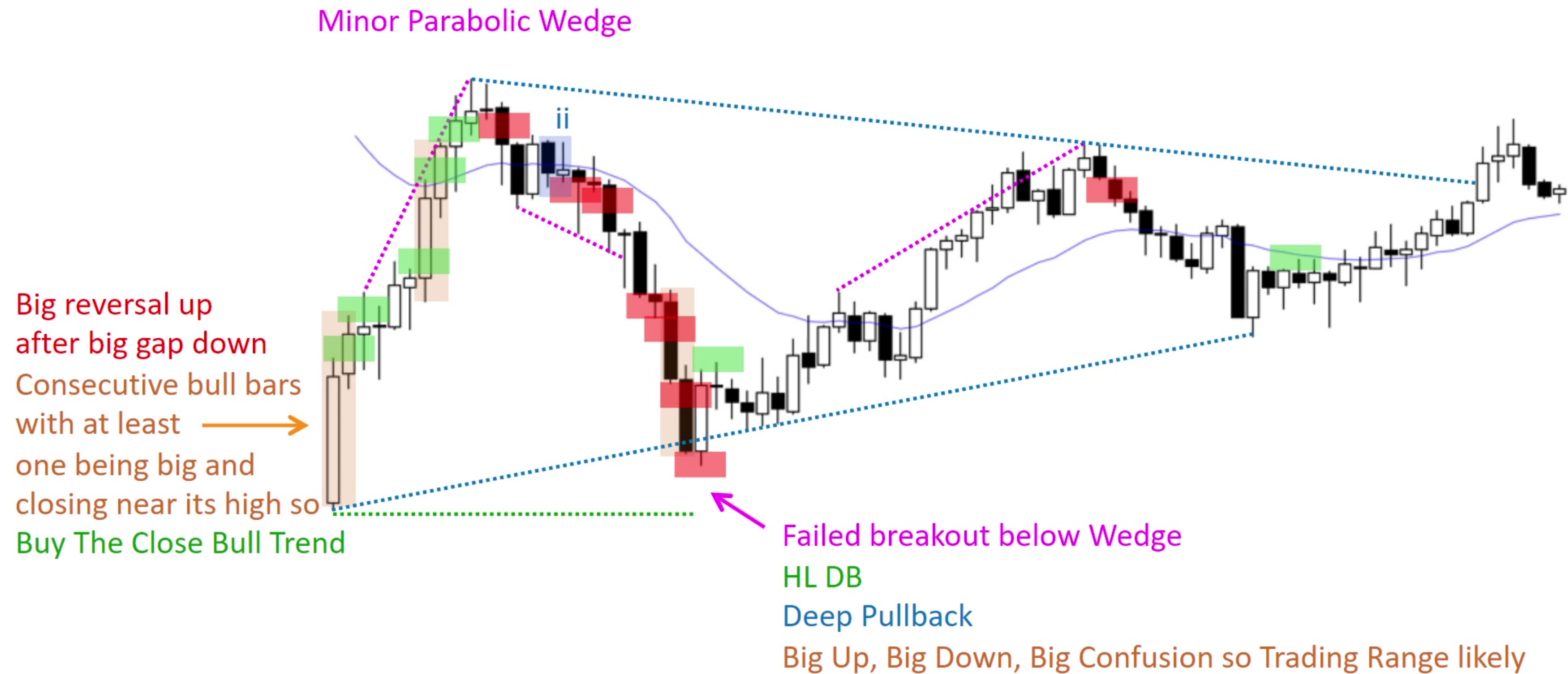
Strong Green Buying Pressure

Bear trend unlikely

Either bull trend or TR day

However, today reversed into bear trend

Buy Climax: Parabolic Wedge Top



Buy Climax: Failed Bull Trend From The Open

Minor Parabolic Wedge Buy Climax since Tight Bull Channel

Here, became big leg down in Trading Range

30% of time, Minor Reversal continues
into Major Reversal, like today



B Climax: 13 Bar Bull Micro Channel



B Climax on Open: Failed BO above Yesterday's H



B Climax: Low 2 Top

Low 2 top after B Climax

Wedge, Micro DT

2 strong legs up so minor reversal and
TR more likely than new L of day



B Climax: DT after Going Outside Up



Buy Climax at EMA: Then Trading Range

Micro DT at EMA
after Buy Climax

